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The other allegation is that the Adani stocks have seen a phenomenal rise in their market capitalisation in the past five years and that the stock values have been artificially inflated. Experts like Aswath Damodaran, a professor of finance at the Stern School of Business at New York University, trace how the fortunes of the Adani Group took a steep upturn in recent years. At the start of 2023, four Adani companies—Adani Enterprises, Adani Total Gas, Adani Green Energy and Adani Transmission—were among the top 20 in terms of m-cap. He also points to Adani's quest for greater family control. Sebi mandates that the maximum shareholding by promoters not exceed 75 per cent, the rest should remain public shareholding. However, per the group structure as of November 2022, the promoters held 72.6 per cent in Adani Enterprises, 75 per cent in Adani Power, and 73.9 per cent in Adani Transmission, all of which skimmed the upper limit permitted by Sebi. In Adani Ports, the promoters held 66 per cent.

Not only does this betray the family's immense control over the businesses, but also leaves room for inflating share prices if regulators and investors aren't wary, say market sources. On February 9, Morgan Stanley Capital International said certain investors in Adani Group securities should no longer be designated as free float (shares that can be publicly traded), and it is reviewing this status, putting further pressure on Adani Group stocks. The more damaging of Hindenburg's charges relate to the shell companies, stock manipulation and money laundering (see *The 'Shell Companies' Shocker*). The report alleges that Adani has a raft of shell companies based in Mauritius, which are used to buy shares and thus retain greater promoter control in the group. "It is unlikely that the web of shell companies was made out of thin air by Hindenburg," says Damodaran. "There are 6,300 companies in Mauritius. It is a place where many Indian businesses, including the Adanis, go. The Indian government is trying to crack down on these companies." The Adani Group denies it has misused the Mauritius connection and says that every dealing it has had there is above board and conforms to the existing law.

Another damaging revelation in Damodaran's analysis pertains to the price-to-earnings or P/E ratio of Adani Enterprises, which has gone from just 15 times in 2016-21 to 214 times in the past two years. The P/E ratio is a measure of the company's value through a comparison of its current share price relative to its per share earnings. It gives companies better valuation and makes it easier for them to raise finance, including from pension funds that usually automate their investments based on high-value market indices. While high pricing multiples are a feature of volatile markets and have characterised tech companies in the past decade, Damodaran is surprised to see it happen in infrastructure. This is because, as he says, payoffs in infrastructure firms typically come over longer periods, and the returns on investment are relatively lower than in certain other businesses.

Damodaran traces the real big jump for Adani companies between March 2021 and September 2022. Despite huge investments, Adani Enterprises saw its return on capital falling from a high of 14.69 per cent in 2002-2015 to 3.18 per cent in 2021-22. Damodaran believes that the Adani Enterprises stock has more than 40 per cent "downside" (that is, the shares could be priced 40 per cent lower), and should be ideally priced at Rs 945 per share, well below the FPO price band. The group denies any allegation of manipulating the P/E ratio and maintains that experts like Damodaran are not factoring in the solidity of the group's growth, a main reason for its high share prices.

The way forward, as Damodaran sees it, is for the group to take a hard look at how it conducts business and for regulators like Sebi to clean up the system. He points out, "The ingredients

ADANI'S FOUR-POINT FIREFIGHTING STRATEGY

1. Release pledged shares to demonstrate group's liquidity and arrest panic selling
2. Work with banks and rating agencies to rebuild credit profile, reschedule capex plans
3. Agree to additional covenants to what it will disclose to the market from a bondholder perspective
4. Present businesses in a completely de-risked manner and consolidate all current ventures while going ahead with expansion plans